

# Unemployment

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|  Chapter    | 10                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|  Date       | Week 3, Term 3                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|  Objectives | <ul style="list-style-type: none"> <li>• the concepts of unemployment, full employment, the natural rate of unemployment, the participation rate and underemployment</li> <li>• the measurement of unemployment</li> <li>• types and causes of unemployment, including cyclical, structural and frictional</li> <li>• the effects of unemployment</li> <li>• the implications of full employment for the economy</li> <li>• the possible short-term trade-off between unemployment and inflation</li> </ul> |
|  Resources  | Y11 Unemployment.pptx                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |

Working age population: part of the population that is of working age (>15)

Labour force: the portion of the working age population who are either working, or are actively seeking work

Participation rate: Proportion of the working age population who are either working, or are actively seeking work

Disguised unemployment → Underemployment: When people are employed less than they would like to

Hidden unemployment → Discouraged workers: Workers who choose not to participate in the labour force because previous efforts to find a have have been frustrated

Natural rate of UE: Unemployment that can not be reduced by expanding aggregate demand

(the sum of structural and frictional unemployment)

## Consolidation

### ▼ What is unemployment?

Refers to the people who are willing and able to work but cannot find a job

- Can either be voluntary or involuntary

#### ▼ What is the unemployment rate?

Proportion of labour force who are willing and able to work but have not been employed in paid work for at least one hour in the week surveyed

- you only need to work for one hour to be counted - limitation

#### ▼ Measurement of unemployment

Unemployment = unemployed / labour force \* 100

#### ▼ Limitations of the measurement of unemployment

Limitations:

- Does not account for hidden unemployment
- Unemployment is a lagging indicator
- Does not account for underemployment
- Excludes those with disabilities
- Excludes the defence force
- Excludes everyone who is retired
- Excludes students
- You only need to work for one hour to be counted

#### ▼ What is cyclical unemployment?

Follows the cyclical movements of the business cycle

Occurs due to the fact that demand for labour changes with the business cycle

During recessions, cyclical unemployment is high

During booms, cyclical unemployment is low

During full employment, cyclical unemployment is at or near 0

#### ▼ What is structural unemployment?

When there is a mismatch of available and required skills in a geographical or occupational sector of the economy

Such as the replacement of labour by capital

Can be long term, especially for older workers

Causes:

- Changes in technology
- Changes in the demand for productive factors
- Changes in the pattern of consumer demand

#### ▼ What is frictional unemployment?

Unemployment caused due to the job search that occurs when in transition between different jobs

Is most likely to be short term

Most commonly seen during the upswing or boom of the BTC. People are more confident in finding jobs they prefer

#### ▼ What are the impacts of unemployment

Lower levels of AE, investment and business confidence

- UE indicates that resources are under-utilised
- There is a gap between actual GDP and potential GDP

Higher welfare payments

- Opportunity cost: Potential expenditure on infrastructure, health and education

Increased social problems/social dislocation

Affects the distribution of income

#### ▼ What is the impact of unemployment on the distribution of income?

Depends on age groups, demographics, location, health status

#### ▼ What is full employment?

When the economy is at its maximum production capacity

Exists when cyclical unemployment is at 0%.

#### ▼ What are the implications of full employment on the economy?

Economy is nearing or at full capacity

Can lead to labour bottlenecks, i.e. oversupply of labour

People come back to work

Economy will find it hard to grow without expansions in land and capital

If producers can't increase supply they will increase price = inflation

#### ▼ **Trade off between unemployment and inflation**

Low unemployment is usually correlated with high inflation

Low unemployment leads to inflationary pressures due to high levels of demand

High unemployment is usually correlated with low inflation

Unemployment means that resources are under-utilised and therefore demand is lower

Achieving the economic targets of low inflation and low unemployment would involve a trade-off as the two targets contradict each other

#### ▼ **How do we measure unemployment?**

Unemployment is the proportion of the labour force who is actively seeking and willing to have a job but has not been able to find at least one hour per week of work. Therefore the formula is:

$$\text{Unemployment} = \frac{\text{unemployed}}{\text{labour force}} * 100$$

#### ▼ **Outline full employment, unemployment and underemployment.**

Full employment occurs when there is no cyclical unemployment and the only unemployment comes from frictional unemployment as people seek higher education or change careers. The natural rate of unemployment is 5% and accounts for this frictional unemployment which will always be happening. Full employment indicates an efficient allocation of labour resources in the economy.

Unemployment is the proportion of the labour force that is able and willing to work but has not found at least one hour's work per week.

Unemployment leads to increased social problems, lower spending and higher burden on the government in the form of welfare payments, therefore unemployment is detrimental to the health of the economy.

Unemployment is targeted at around 5% which allows for frictional unemployment, which is merely natural.

Underemployment is the proportion of the employed labour force that does not have their full skills employed into their job. This means someone could be working part-time but want to work full-time as well as someone who is overqualified for their job. The underemployment rate would ideally sit around the unemployment rate but is naturally higher as the economy cannot cater for everyone to have full time positions or efficiently use all of their skills.

▼ **What are the limitations to the measurement of unemployment?**

Three limitations to unemployment include the fact that it is a lagging indicator, it does not take into account underemployment, and doesn't take into account hidden employment.

The fact that the unemployment rate is a lagging indicator limits the usefulness of it as an economic indicator. The unemployment rate only shows us what has happened rather than telling us what is happening now or in the future. This could be an issue for the Government as they will make policy decisions based on 'old' figures and this may not reflect the true level of unemployment in the current climate.

Underemployment is the portion of the employed labour force that could be utilizing their skills to a greater extent. The idea of the measurement of unemployment is to determine the allocation of resources within the labour force. Employees may be considered employed if they work for more than one hour per week, which is a huge underutilisation of resources for many employees. Since underemployment is not included in the unemployment rate, the unemployment figures do not truly evaluate the real efficiency of the allocation of the labour force within the economy.

Hidden employment refers to the portion of the population that is not officially employed, but does contribute to the economy. Hidden employment includes housework at home, off-market transactions and charity work. These jobs are crucial to the functioning of our economy, but are not recognised by official employment figures even though they are an allocation of labour resources.

▼ **Distinguish between the three types/causes of unemployment.**

There are three types of unemployment: frictional, structural and cyclical.

Frictional unemployment occurs when someone decides to train in a new skill or transition between jobs. This is a natural unemployment within the

economy as people are always looking to be satisfied in their jobs. This most commonly occurs in an upswing or boom in the BTC as people are confident they will be re-hired. Frictional unemployment is most likely short term.

Structural unemployment occurs when there is a mismatch in ability between the person and their job. This can be due to changes in technology, need for productive factors and changes in consumer demand. An example of this would be the automation of truck driving. Truck drivers would no longer be needed to operate self-driving trucks as the technology replaces their abilities, providing a cheaper and more reliable alternative to manual labour. Therefore the truck driver would be unemployed and have to re-evaluate his skills in order to find a new job

Cyclical unemployment follows the trends in the BTC. As the economy enters a downswing and trough, confidence in the economy lowers and jobs decrease in availability. This increases the unemployment rate. The goal for the Government is to have cyclical unemployment at 0 and achieve a state of full employment indicating an efficient allocation of labour resources within the economy.

#### ▼ **What are the effects of unemployment on the economy?**

Unemployment has negative connotations on the economy.

Unemployment indicates a misallocation of labour resources within the economy. This creates a gap between real GDP and potential GDP. This gap in productive output decreases the level of business and consumer confidence within the economy, decreasing aggregate expenditure.

Moreover, low confidence means employees lose jobs as businesses try to retain income, decreasing national income levels. Low incomes leads to a larger gap in the distribution of income across the nation, creating higher social problems. Increased violence and social dislocation then means the government needs to increase welfare payments to achieve a minimum standard of income across the nation in order to generate an acceptable standard of living for the population

#### ▼ **What are the effects of full employment on the economy?**

Full employment in the economy can benefit the nation as it leads to increased confidence for business and consumers as incomes are widely increased. This would spur higher levels of aggregate expenditure and stimulate economic growth as well as increase national living standards.

Full employment, however, can be unsustainable as it could create a labour bottleneck. This occurs due to an oversupply of labour compared to the jobs available. Moreover, the economy only grows when capital and land also expand in productive capacity, not just labour. Without proper expansion in those areas, full employment can not be sustained and it will not aid economic growth in a healthy way.

▼ **Describe the trade-off between unemployment and inflation.**

When unemployment rates are high, the inflation rate is typically lower. This occurs as unemployment leads to decreased incomes and therefore decreased business and consumer confidence, lowering aggregate expenditure. Lack of spending then does not create cost-push inflation and will create low levels of inflation.

Contrastingly, when unemployment rates are low, the inflation rate is typically higher. This occurs as high employment leads to increased average incomes, confidence and aggregate expenditure. This in turn creates cost push inflation and increases the inflationary figure.

Therefore achieving both economic objectives is difficult as they often contradict each other.